

How Critical Minerals Have Become Central to Mining Strategy



The strategic importance of critical minerals to the metals and mining industry is more widely recognized than ever before. Critical minerals have become central to mining strategy, influencing where organizations invest, which resources they develop, and how countries and businesses seek to build resilient, long-term supply chains. Their geographic concentration, complex extraction & processing requirements, long project-development timelines, and intense competition for resources make these minerals exceedingly challenging to develop and access.

Supply Concentration

These challenges are compounded by the geographic concentration of mineral resources as well as processing capacity. Cobalt production remains heavily concentrated in the Democratic Republic of the Congo, while Indonesia has emerged as a major producer of nickel. Australia is a major producer of lithium, while South Africa is a leading producer of manganese. Beyond mining, the concentration of processing and refining capacity adds another layer of supply-chain risk, with China playing a major role in the processing and refining of several critical minerals.

This concentration is prompting organizations and governments to rethink how they approach the critical minerals value chain. Mining companies are reassessing where and how they invest, reviewing their portfolios, and adapting their strategies for developing new resources. At the same time, governments are working to strengthen domestic capabilities, diversify sourcing, and make critical mineral supply chains more resilient. However, expanding supply is itself a complex and time-intensive exercise. Developing new mines and processing facilities requires substantial investment, long lead times, and the ability to navigate increasingly complex regulatory, environmental, and permitting requirements.

Rising Competition

Geopolitical tensions, trade restrictions, and increasing competition between economies are putting further pressure on an already challenging supply environment. Demand for critical minerals is rising rapidly as they become essential to a growing range of applications, from electric vehicles and renewable energy infrastructure to data centers, AI-enabled technologies, advanced manufacturing, and defense. As competition for limited resources intensifies, downstream industries are also exploring new ways to secure reliable access to strategically important materials. This is changing how organizations across the critical minerals value chain work together and manage their supply relationships. This is changing the nature of competition. The focus is no longer only about securing mineral resources, but also about securing the processing, refining, and manufacturing capacity needed to convert those resources into reliable supply.

According to the International Energy Agency's Global Critical Minerals Outlook 2026, refining concentration reached record levels in 2025, with the average share of the leading refining country reaching around 70% across key energy minerals. At the same time, investment in critical minerals declined by 9% in 2025, even as supply security concerns intensified. This points to a growing industry challenge: the need to secure critical mineral supply is increasing, but investment in developing new supply is not keeping pace.

The industry is extending beyond securing mineral resources to processing, refining and manufacturing capacity. For mining companies, factors such as jurisdictional risk, infrastructure, permitting, processing options, and access to long-term demand are increasingly important alongside geology and production costs when evaluating new opportunities.

Conclusion

These forces together are driving a global push to secure the minerals needed to support the next phase of industrial growth. The larger question is increasingly not simply where resources exist, but who can develop them, process them, and ensure a reliable long-term supply. For mining companies, this means that investment decisions are increasingly influenced not only by the quality and location of a resource, but also by the capital, capabilities, partnerships, infrastructure, and processing capacity required to develop it and deliver reliable supply to customers.